



| BUDGET COLUMN |

Expect Private Investment Cycle To Pick Up

The government's budgetary strategy focusses on modification and moderation, a fine balance between the long term and the short term

BY SANJEEV KRISHAN CHAIRPERSON, PwC IN INDIA

T

82 |

THE FINANCE MINISTER'S approach to the Union Budget 2025-26 embodies the well-known adage 'When the going gets tough, the tough get going.' Since the onset of Covid-19, the government adopted the Keynesian approach of pump-priming the economy through high capital expenditure in successive Budgets. While this strategy stimulated growth for three fiscals, the incremental returns on these investments began to taper off in FY25, largely due to lower investments from the private sector and a consumption slowdown resulting from stagnating wage growth coupled with inflation.

Grappling with this reducing growth rate over the last seven quarters, the government's budgetary strategy focusses on modification and moderation, striking a fine balance between the long term and the short term. It seeks to address the demand side of the GDP equation, putting more money in the hands of citizens while prudently managing capital expenditure (capex). The government has provided

Indian taxpayers with ₹1 lakh crore through income tax cuts while maintaining its capex at 3.1% of GDP in FY26. With revenues from income tax exceeding budgeted estimates for four consecutive years, this shift was well-deserved by the average Indian taxpayer.

The Budget has also created multiple policy and monetary enablers to boost the private capex cycle—focussing on enablement, innovation and deregulation. This should not only drive investments in the domes-

can catapult the sector into the next phase of growth.

As the world demands a complete reinvention of the existing global value chain, the Budget announcements laid emphasis on India's fourth engine—exports. The government has announced the Export Promotion Mission, support for global supply chain integration, and Bharat Trade Net—an addition to India's Digital Public Infrastructure that will complement the Unified Logistics Interface Platform. How-

THE 2025-26 BUDGET DEMONSTRATES THE GOVERNMENT'S WILLINGNESS TO MAKE STRATEGIC INVESTMENTS FROM A POSITION OF FISCAL STRENGTH

tic market but also increase India's standing as a preferred destination for goods and services.

The government has also adopted a 'modify and moderate' strategy towards the manufacturing sector. Acknowledging the contributions of local entrepreneurs, MSMEs, and start-ups, this Budget shifts the focus to incentivise productivity, quality, and competitiveness while boosting employment. Policy-level support, if implemented swiftly and in consultation with the industry,

ever, these must avoid existing road-blocks, including the India Trade Promotion Organisation (ITPO) and Export Promotion Councils which have been criticised for inefficiency, lack of transparency and absence of data-driven outward strategies. In addition to assisting the private sector in project planning, access to data and maps from the Gati Shakti portal creates opportunities to disrupt and modernise the Indian logistics space.

Another welcome feature is the holistic approach in strategically